MERCHANDISING
Markdown review

- Overview
- What worked
- Markdown list

DATA AS OF
Week of 16 Sep 2020

SOURCE
H&M transactions via Kaggle
Prices anonymised

Personal, non-commercial project.
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Overview

Which full-price lines should we mark down now, and how deep?

Department: All

Lines to mark down	Share of full-price range	Share of full-price revenue	Extra units in 4 weeks
2,122	28%	3%	13,084

RECOMMENDATION · ALL DEPARTMENTS

Mark down 2,122 slow lines now at 30–50%

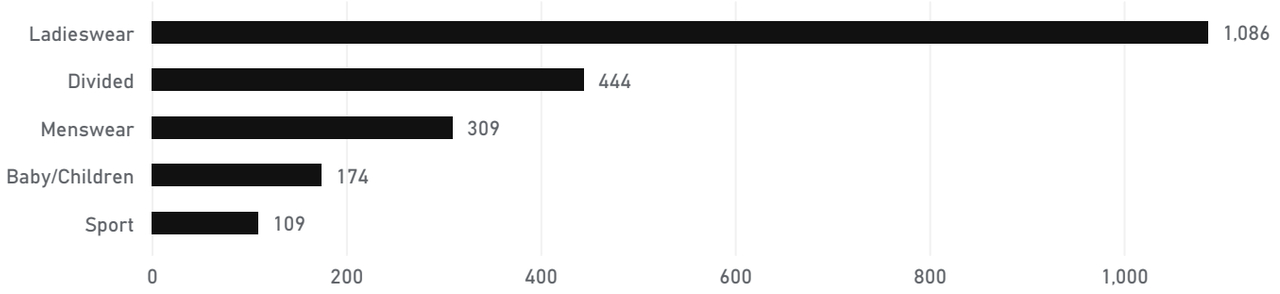
28% of the range, 3% of revenue

Depth
30–50%. Menswear: 50%+.

Avoid
15–30% cuts, and 50%+ in Sport.

Timing
Now, before Autumn/Winter stock lands.

Lines to mark down, by department



Sale seasons: share of units sold at markdown



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What worked

Past markdowns, each compared with similar products still at full price (4 weeks before vs after)

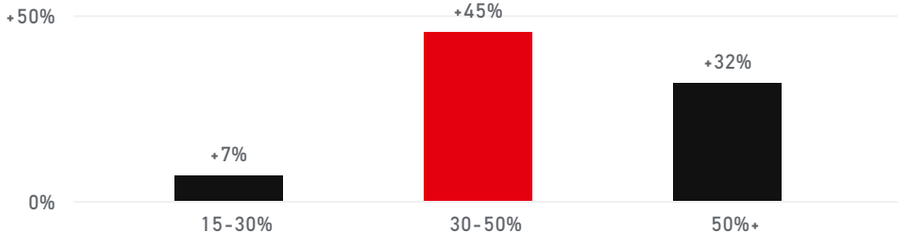
Department: All

Markdowns analysed
19,668

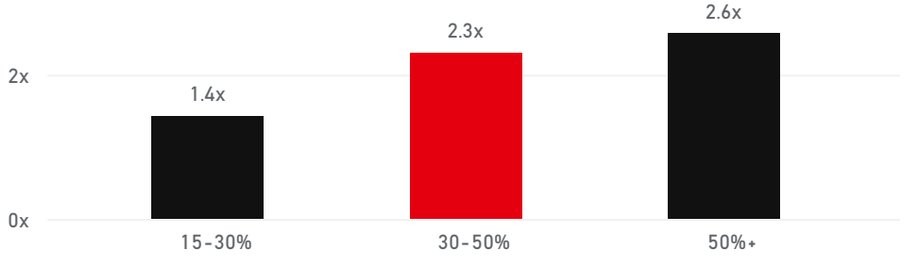
Markdowns that grew revenue
62%

Median unit sales lift
2.1x

Revenue change by markdown depth



Unit sales lift by markdown depth



Revenue change by department and depth

Department	15-30%	30-50%	50%+
Baby/Children	+18%	+24%	+21%
Divided	+9%	+55%	+45%
Ladieswear	+1%	+49%	+26%
Menswear	+19%	+40%	+51%
Sport	-5%	+28%	-8%

WHAT THIS SHOWS

30–50% best in 4 of 5 departments

15–30% barely beats doing nothing

50%+ more units, less revenue

Exceptions Menswear likes 50%+; Sport loses at 50%+

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Markdown list

Full-price lines selling at under half the rate of similar lines, slowest first. — = no sales in the prior 4 weeks, so no trend to compare

Department: All

Product type: All

Suggested markdown: All

Lines to mark down
2,122

Lines to mark down

Product	Colour	Type	Department	Weeks on sale	Units (4 wks)	Speed vs similar	vs prior 4 wks	Markdown
COCO 2-p bra	Black	Top	Sport	42	1	1%	—	30-50%
Karin padded sport bra	White	Top	Sport	36	1	1%	-89%	30-50%
Kendrick sleevles hood	Black	Top	Sport	9	1	1%	0%	30-50%
Maisy 2-p	Other Pink	Top	Sport	41	1	1%	0%	30-50%
Selina Set 2PCS	Other Pink	Top	Sport	11	1	1%	-50%	30-50%
Kendall bikerpant	White	Leggings/Tights	Ladieswear	13	1	2%	-95%	30-50%
Sport HAVANA tights	Pink	Leggings/Tights	Ladieswear	23	1	2%	—	30-50%
APOLLO HW seamless tights	Light Orange	Leggings/Tights	Sport	58	1	2%	0%	30-50%
HAVANA HW tights	Black	Leggings/Tights	Sport	8	1	2%	—	30-50%
HEAVEN shaping HW tight	Greenish Khaki	Leggings/Tights	Sport	33	1	2%	-92%	30-50%
HEAVEN shaping HW tights	Dark Grey	Leggings/Tights	Sport	24	1	2%	-80%	30-50%
Kim Shaping HW 39.99	Black	Leggings/Tights	Sport	34	1	2%	0%	30-50%
SUPREME RW tights	Yellowish Brown	Leggings/Tights	Sport	29	1	2%	0%	30-50%
Polka jsy blazer	Grey	Blazer	Divided	34	1	2%	—	30-50%
PQ FABIENNE CTN/SILK BLOUSE	Light Beige	Shirt	Ladieswear	32	1	2%	—	30-50%
PQ JOHN SILK BLEND SHIRT	Dark Pink	Shirt	Ladieswear	46	1	2%	—	30-50%
D1 PE AZEALIA BOTTOMS	Black	Underwear bottom	Ladieswear	55	1	2%	—	30-50%
HM+ Hilly Biker 2pk	Black	Underwear bottom	Ladieswear	27	1	2%	-91%	30-50%